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“Once you have an electricity-based process, you can further optimise the cost by shifting to renewable power. Embracing industrial electrification is essential”

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“As one of India’s leading steel producers, [we] are taking a leadership role in advancing CCUS as a critical enabler for hard-to-abate sectors, alongside RE”

moving towards a low-carbon road map. This is being primarily driven by the European Union with its Carbon Border Adjustment Mechanism (CBAM), which embeds carbon costs directly into market access conditions. The EU accounted for 17% of India’s exports and was its third largest trading partner in 2025.

For India, the impact will be felt hardest in carbon intensive, trade exposed sectors such as steel, aluminium, cement and fertilisers. Exporters must comply with mandatory emissions disclosures; purchase certificates aligned with EU emission trading system prices and the subject themselves to stringent verification.

The first annual CBAM declaration for 2026 imports is due on

September 30, 2027, marking the beginning of full financial compliance under the definitive regime.

Taking it a step ahead, the EU plans to charge CBAM tax on 180 new steel- and aluminium-based products from January 2028. This will impact the medium and small enterprises dealing in manufacturing and industrial goods.

The Global Trade Research Initiative (GTRI), a trade think tank, says Indian industry should no longer view CBAM as a regulation affecting only steel and aluminium. GTRI estimates that by 2030, most industrial products entering the EU could potentially face some form of carbon tax exposure.

“It is a very challenging situa-

tion. Everything has to be calculated product by product,” says Anil Bhardwaj, Secretary General of Federation of Indian Micro Small & Medium Enterprises (FISME).

Bhardwaj explains that SMEs are completely dependent on grid power, where coal-based thermal power constitutes 80-85% of supply. This is not the case for large industry, because the latter can set up their own captive power plant and have green energy wheeled into their plant.

“We are talking to the government about how green power can be provided to clusters exporting to the EU,” says Bhardwaj, adding the sector largely lacks data on emissions.

In April, the European Parliament also opposed allowing international carbon credits for CBAM compliance. Hence, firms exporting to the EU would have to physically reduce emissions at source or operate under a domestic carbon pricing system accepted by the EU.

India has notified the Carbon Credit Trading Scheme (CCTS) with the objective of reducing, removing, or avoiding greenhouse gas emissions from the Indian economy by pricing such emissions through the trading of Carbon Credit Certificates. However, the market has not yet begun credit issuance under the compliance mechanism.

Hence, India’s immediate solution of embracing coal again may complicate its energy transition trajectory. Multiple fuels will likely coexist for decades. The country must look past the immediate challenge to focus on cleaner alternatives that will make it less vulnerable to external shocks. **BT**

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